

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

S.P.F. LOGISTICS, INC., *Complainant*

v.

HAPAG-LLOYD AG, *Respondent*.

DOCKET NO. 24-24

Served: December 17, 2025

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION APPROVING CONFIDENTIAL SETTLEMENT AGREEMENT¹

On December 1, 2025, Complainant S.P.F. Logistics, Inc. (“SPF”) and Respondent Hapag-Lloyd AG (“HLAG”) filed a joint motion (“Motion”) seeking approval of a confidential settlement agreement and dismissal with prejudice. The motion attached a copy of the confidential settlement agreement.

The parties explain the procedural history of the proceeding.

This proceeding was commenced when SPF filed a complaint on or about July 16, 2024, alleging violations of the Shipping Act of 1984, as amended. HLAG filed a motion for summary judgement on or about September 12, 2024, to which SPF replied. On January 14, 2025, the Parties were ordered to file supplemental briefs, which they did. The motion for summary judgement was denied on May 8, 2025, after which HLAG filed its answer to the complaint. The Parties then engaged in discovery, and completed document production and responses to interrogatories. The Parties were then able to reach the compromise reflected in the Agreement.

Motion at 2.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ May 9, 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ Nov. 29, 1978)); see also *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ Jan. 21, 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A Am. Jur. 2d *Compromise and Settlement* § 3 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, Docket No. 88-4, 24 S.R.R. 1129, 1134, 1988 WL 340657, at *7 (ALJ Aug. 12, 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, Docket No. 07-01, 31 S.R.R. 623, 626, 2009 WL 971291, at *2 (FMC April 1, 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

The parties contend:

The Agreement is a fair and reasonable resolution of the dispute between the Parties, particularly in light of the amount at issue and the cost of further litigation. The Agreement reflects the desire of the Parties to resolve their dispute without the need for further costly litigation before the Commission and the courts. For these reasons, the Parties respectfully request that the Agreement be approved and, on that basis, the verified complaint in this matter be dismissed with prejudice.

Motion at 3.

Based on the representations in the joint motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy, or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions. The proceeding would require potentially expensive additional discovery and briefing. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, the settlement agreement is approved.

The parties request that the settlement agreement be kept confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. 46 C.F.R. § 502.5(b); *see also* 46 C.F.R. § 502.141(j). The Commission recently stated that it “requires more formality and clarity, including a motion explaining the need for confidential treatment” and “good cause demonstrating that the information is a trade secret or other confidential research, development, or commercial information.” *Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), 2024 WL 5054939, at *1 (FMC Dec. 4, 2024).

Here, the parties request confidentiality, stating that the agreement “is the result of confidential commercial negotiations between the Parties, and the Parties therefore jointly and respectfully request leave to file the Agreement under seal for review and approval, and that the Agreement thereafter continue to be afforded confidential treatment by the Commission.”
Motion at 3.

The confidential settlement agreement has been reviewed by the undersigned and is available to the Commission. Given the parties’ request for confidentiality, confidential information included in the settlement agreement, and the Commission’s history of permitting agreements settling private complaints to remain confidential, the parties’ request for confidentiality for the settlement agreement is granted. The settlement agreement will be maintained in the Secretary’s confidential files.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the joint motion to approve the settlement agreement between Complainant SPF and Respondent HLAG, be **GRANTED**. It is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**. It is

FURTHER ORDERED that the request for dismissal with prejudice be **GRANTED**.


Erin M. Wirth
Chief Administrative Law Judge